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In the Supreme Court of the United States

OCTOBER TERM, 1996

FRANCIS BERNARD AUER, ET AL., PETITIONERS

v.

DAVID A. ROBBINS, ET AL.

ON WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS
FOR THE EIGHTH CIRCUIT

BRIEF FOR THE UNITED STATES AS AMICUS CURIAE SUPPORTING AFFIRMANCE

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QUESTIONS PRESENTED

Regulations promulgated by the Secretary of Labor provide that employees are considered to be paid on a "salary basis," and therefore may be "executive," "administrative," or "professional" employees exempt from the overtime requirements of the Fair Labor Standards Act of 1938, 29 U.S.C. 201 *et seq.*, if they are paid a predetermined amount, on a weekly or less frequent basis, that "is not subject to reduction because of variations in the quality or quantity of the work performed." 29 C.F.R. 541.118(a). In addition, 29 C.F.R. 541.118(a)(6) provides a "window of correction" under which an employer that has made a deduction from an employee's pay that would remove the employee from exempt status may retroactively restore the employee's exempt status by reimbursing the employee and promising to comply with the salary basis rule in the future. The questions presented are:

1. Whether the pay of a class of employees is "subject to" reduction within the meaning of 29 C.F.R. 541.118(a) when an employer has a written manual that permits disciplinary suspensions of less than one week to be imposed on members of the class, but no such suspension has ever been imposed except in one unique circumstance.
2. Whether an employer may take advantage of the window of correction to remedy a one-time disciplinary deduction.

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INTEREST OF THE UNITED STATES

The Fair Labor Standards Act of 1938 (FLSA), 29 U.S.C. 201 *et seq.*, contains an exemption from its overtime requirements for "employee[s] employed in a bona fide executive, administrative, or professional capacity." 29 U.S.C. 213(a)(1). This case raises questions concerning the interpretation of regulations issued by the Secretary of Labor pursuant to his authority to "define[] and delimit[]" (*ibid.*) the meaning of those terms. The Secretary has a substantial interest in the correct interpretation of his regulations. At the invitation of the Court, the United States filed a brief as amicus curiae at the petition stage.

STATEMENT

1. Section 7(a)(1) of the FLSA, 29 U.S.C. 207(a)(1), requires an employer to pay each of its employees "at a rate not less than one and one-half times the regular rate

at which he is employed" for all hours worked in excess of 40 hours in a week. Section 13(a)(1) of the Act, 29 U.S.C. 213(a)(1), provides an exemption from the requirement of overtime pay for "any employee employed in a bona fide executive, administrative, or professional capacity * * * (as such terms are defined and delimited from time to time by regulations of the Secretary [of Labor])."

Pursuant to the authority conferred on the Secretary to define the scope of the exemption, the Secretary has promulgated regulations that provide that, in order to qualify for executive, administrative, or professional status, an employee must meet both a salary test and a duties test. See 29 C.F.R. 541.1 (executive), 541.2 (administrative), 541.3 (professional). The salary test consists of two elements: (1) a requirement that the "exempt" employee receive no less than a specified level of compensation; and (2) a requirement that the compensation be paid "on a salary basis." This case concerns only the latter component of the salary test: whether the pertinent employees have been paid "on a salary basis" as defined by 29 C.F.R. 541.118(a).

a. The salary basis test has roots that reach back to the enactment of the FLSA in 1938. In that year, the Administrator of the Department of Labor's Wage and Hour Division issued regulations providing that, in order to come within the Section 13(a)(1) exemption, executive and administrative employees must perform duties of a specified nature and be "compensated for [their] services at not less than $30 * * * for a workweek." 29 C.F.R. 541.1 (1938 Supp.); 3 Fed. Reg. 2518 (1938). A salary requirement was not initially imposed for professional employees. 29 C.F.R. 541.2 (1938 Supp.); 3 Fed. Reg. 2518 (1938).

In 1940, the Wage and Hour Division conducted hearings on the regulations governing the Section 13(a)(1) exemption, and the presiding hearing officer issued a report recommending a salary basis test for all three classes of exempt employees. United States Dep't of Labor, Wage

and Hour Division, "*Executive, Administrative, Professional . . . Outside Salesman" Redefined, Report and Recommendations of the Presiding Officer at Hearings Preliminary to Redefinition* (1940) (*1940 Report*). In that report, the presiding hearing officer noted that there was "surprisingly wide agreement" among employers and employees "that a salary qualification in the definition of the term 'executive' is a valuable and easily applied index to the 'bona fide' character of the employment." *Id.* at 19. The basis of that agreement was that "[t]he term 'executive' implies a certain prestige, status, and importance" that is captured by a salary test. *Ibid.* Also, because "executive" employees are denied the protection of the Act, "[i]t must be assumed that they enjoy compensatory privileges," including a salary "substantially higher" than the minimum wages guaranteed under the Act. *Ibid.* The report noted that "[t]he shortest pay period which can properly be understood to be appropriate for a person employed in an executive capacity is obviously a weekly pay period," and it recommended a salary test for executives that would be satisfied if "the employee is guaranteed a net compensation of not less than $30 a week '*free and clear.*'" *Id.* at 23 (emphasis added). The report also concluded that the inclusion of a salary test was vital in defining "administrative" and "professional" employees as well. *Id.* at 26 ("[A] salary criterion constitutes the best and most easily applied test of the employer's good faith in claiming that the person whose exemption is desired is actually of such importance to the firm that he is properly describable as an employee employed in a bona fide administrative capacity."); *id.* at 36 ("[I]n order to avoid disputes, to assist in the effective enforcement of the act and to prevent abuse, it appears essential * * * to include a salary test in the definition [of professional].").

Based on the presiding officer's recommendation, the Wage and Hour Division Administrator promulgated regulations providing that an exempt executive must be "compensated for his services *on a salary basis* at not less than $30 per week." 29 C.F.R. 541.1(e) (1940 Supp.); 5

Fed. Reg. 4077 (1940) (emphasis added). The regulations required that exempt administrative and professional employees (except physicians and attorneys) must be paid "*on a salary* or fee *basis* at a rate of not less than $200 per month." 29 C.F.R. 541.2(a) (administrative), 541.3(b) (professional) (1940 Supp.); 5 Fed. Reg. 4077 (1940) (emphasis added).

b. In 1944, the Wage and Hour Division issued Release No. A-9, which addressed the meaning of "salary basis." The Release stated that an employee will be considered to be paid on a salary basis if

> under his employment agreement he regularly receives each pay period, on a weekly, biweekly, semimonthly, monthly or annual basis, a predetermined amount constituting all or part of his compensation, which amount is not subject to reduction because of variations in the number of hours worked or in the quantity or quality of the work performed during the pay period.

Release No. A-9 (Aug. 24, 1944), *reprinted in* Wage & Hour Manual (BNA) 719 (cum. ed. 1944-1945). The Release further explained that, because "bona fide executive, administrative, and professional employees are normally allowed some latitude with respect to the time spent at work," such employees should generally be free to go home early or occasionally take a day off without a deduction in pay. *Ibid.* Due to particular war-time conditions, however, "disciplinary deductions * * * made for unreasonable absences" were permissible. *Ibid.*

In 1947, the Wage and Hour Division again conducted hearings on the Part 541 regulations. After the hearing, the presiding officer recommended retention of the "salary basis" test, stating:

> The evidence at the hearing showed clearly that bona fide executive, administrative, and professional employees are almost universally paid on a salary or fee basis. Compensation on a salary basis appears to have been almost universally recognized as the

> only method of payment consistent with the status implied by the term "bona fide" executive. Similarly, payment on a salary (or fee) basis is one of the recognized attributes of administrative and professional employment.

United States Dep't of Labor, Wage and Hour and Public Contracts Divisions, *Report and Recommendations on Proposed Revisions of Regulations, Part 541, Defining the Terms "Executive" "Administrative" "Professional" "Local Retailing Capacity" "Outside Salesman"* 24 (1949) (*1949 Report*) (footnote omitted).

The 1949 Report (at 24-26) recommended abandoning the policy in Release No. A-9 that permitted disciplinary deductions for unreasonable absences. The imposition of such disciplinary deductions, the presiding officer concluded, had been a war-time phenomenon prompted by temporary conditions that no longer existed. *Id.* at 25. In the "rare instances" where discipline of exempt employees was still found necessary, it was "usually accomplished in other ways than by deduction from salary." *Ibid.*

Based on the presiding officer's recommendations, the Administrator in 1949 issued revised Part 541 regulations that retained the "salary basis" criterion. 29 C.F.R. 541.1(f), 541.2(e), 541.3(e) (1949 Supp.); 14 Fed. Reg. 7705 (1949). Shortly thereafter, the Administrator published the first version of 29 C.F.R. 541.118 (1949 Supp.) in a new Subpart B, entitled "Interpretations." Section 541.118(a) provided as follows:

> An employee will be considered to be paid on a salary basis within the meaning of the regulations in Subpart A of this part, if under his employment agreement he regularly receives each pay period on a weekly, or less frequent basis, a predetermined amount constituting all or part of his compensation, which amount is not subject to reduction because of variations in the number of hours worked in the workweek or in the quality or quantity of the work performed. The employee must receive his full salary

> for any week in which he performs any work without regard to the number of days or hours worked.

14 Fed. Reg. 7735 (1949). Those regulations did not expressly authorize any deductions from compensation.

c. In 1954, the Administrator issued a revised Section 541.118(a) that remains in force today. That regulation was adopted after being proposed for comment, see 19 Fed. Reg. 1321 (1954), and was issued pursuant to the Administrator's authority under Section 13(a)(1) of the Act, see *id.* at 4405-4406. As in the 1949 regulation, an employee is deemed to be paid on a salary basis if, under the employment agreement, the employee "regularly receives * * * a predetermined amount" of compensation that "is not subject to reduction because of variations in the quality or quantity of the work performed." 29 C.F.R. 541.118(a). A "salary basis" employee "must receive his full salary for any week in which he performs any work without regard to the number of days or hours worked," but need not be paid for any week in which he performs no work. *Ibid.* The new version of Section 541.118(a), however, added exceptions to that rule. One exception is that an employer may impose penalties for infractions of safety rules of major significance without affecting an employee's salaried status. 29 C.F.R. 541.118 (a)(5). The proposed version of the new regulation would have permitted deductions for "other major disciplinary reasons" as well. 19 Fed. Reg. 1321, 1322 (1954) (proposed Section 541.118(a)(5)). "On the basis of the comments" received, however, the Administrator deleted from the final regulation the authorization of deductions for other major disciplinary reasons. *Id.* at 4406. Penalties for infractions of work rules that are not major safety rules are therefore governed by the general salary basis test set forth in paragraph (a). Thus, an employee suspended without pay for less than one week for a violation of a rule that is not a major safety rule would be classified as nonsalaried. On the other hand, an otherwise salaried employee who is suspended without

pay for one full week for the violation of such a rule would remain a salaried employee.

The salary basis regulation also permits deductions from a salaried employee's compensation to reflect absences of "a day or more" for personal reasons other than sickness and accident (29 C.F.R. 541.118(a)(2)) and to reflect absences for "a day or more" due to sickness or disability if "made in accordance with a bona fide plan, policy or practice of providing compensation for loss of salary occasioned by both sickness and disability" (29 C.F.R. 541.118(a)(3)). Docking an exempt employee's pay for partial-day absences, however, is not permitted.[1]

The regulation further provides, in a subsection commonly referred to as the "window of correction," that an employer who has made a deduction that runs afoul of the salary basis rule may take corrective action to restore retroactively the employee's exempt status. 29 C.F.R. 541.118(a)(6) (quoted in full at p. 23, *infra*).[2]

2. a. As originally enacted, the FLSA did not apply to state employees. In 1966, and again in 1972, Congress extended FLSA coverage to certain state employees. Fair Labor Standards Amendments of 1966, Pub. L. No.

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[1] Deductions may not be taken for employee absences caused by jury duty, attendance as a witness, or temporary military leave. The employer may, however, offset against an employee's salary any amounts received by the employee for performance of those duties. 29 C.F.R. 541.118(a)(4).

[2] In 1958, the Wage and Hour Division again conducted hearings on the Section 13(a)(1) exemption for the purpose of determining whether the salary levels in the regulations should be changed. Although the presiding officer's report related primarily to the salary levels, he reiterated that salary is a "mark of [the] status" of an exempt employee and reaffirmed the criterion's importance as an enforcement tool, noting that the Labor Department had "found no satisfactory substitute for the salary tests." United States Dep't of Labor, Wage and Hour and Public Contracts Divisions, *Report and Recommendations on Proposed Revision of Regulations, Part 541, under the Fair Labor Standards Act Defining the Terms "Executive" "Administrative" "Professional" "Local Retailing Capacity" "Outside Salesman"* 2, 3 (1958).

89-601, § 102, 80 Stat. 831-832 (hospitals, institutions, schools, and railways or carriers); Education Amendments of 1972, Pub. L. No. 92-318, § 906, 86 Stat. 375 (public preschools). In *Maryland* v. *Wirtz*, 392 U.S. 183 (1968), this Court upheld the constitutionality of the 1966 extension.

In 1974, Congress extended FLSA coverage to nearly all public sector employees. Fair Labor Standard Amendments of 1974, Pub. L. No. 93-259, 88 Stat. 55; see 29 U.S.C. 203(d) and (x). This Court held, however, that the FLSA's minimum wage and overtime provisions could not constitutionally be applied to state employees engaged in traditional governmental activities. See *National League of Cities* v. *Usery*, 426 U.S. 833, 852 (1976). Approximately ten years later, *National League of Cities* was overruled by *Garcia* v. *San Antonio Metropolitan Transit Authority*, 469 U.S. 528 (1985).

In response to *Garcia*, Congress amended the FLSA to address particular concerns of state and local governments and to allow them relief from liability during a temporary adjustment period. Fair Labor Standards Amendments of 1985, Pub. L. No. 99-150, §§ 2-7, 99 Stat. 787-791. The 1985 amendments contained special provisions on compensatory time in lieu of overtime, special details, and volunteers. *Id.* §§ 2-4, 99 Stat. 787-790. They also contained an exemption for employees of the legislative branch of States and their political subdivisions. *Id.* § 5, 99 Stat. 790. The 1985 amendments, however, did not make any changes to either the Section 13(a)(1) exemption or to the Secretary's Part 541 regulations implementing the exemption. The Department's regulations implementing the 1985 amendments thereupon expressly made the Part 541 regulations applicable to state and local governments. 29 C.F.R. 553.32(c).

b. In light of its experience, the Department of Labor has taken a series of steps that address the application of the salary basis test to public employers. In January 1987, the Department issued an enforcement policy, stating that the Wage and Hour Division would not generally deny a Section 13(a)(1) exemption for an otherwise

exempt public employee whose pay was reduced for absences of less than a day, if such reductions were required by state or local law. See 57 Fed. Reg. 37,666, 37,668 (1992) (quoting policy). In September 1991, the Department issued an interim final rule providing that public employees could qualify as exempt under Section 13(a)(1) even if they are subject to pay deductions for periods of less than a day due to personal reasons, illness or injury when no leave is available. 56 Fed. Reg. 45,824-45,826 (1991). The rule was prompted by the Department's recognition that public employers are often required by principles of public accountability to reduce pay for partial-day absences. *Id.* at 45,825. That interim rule became effective immediately, without notice and comment, in order to spare public employers from "potentially enormous and generally unexpected back wage liabilities" to employees who would otherwise be exempt. *Ibid.*

In August 1992, after notice and comment, the Department issued a final regulation, 29 C.F.R. 541.5d, which provides that a public employee who otherwise meets the salary basis test shall not be disqualified from exemption under 29 C.F.R. 541.1, 541.2 or 541.3 on the ground that the employee "is paid according to a pay system established by statute, ordinance, or regulation, or by a policy or practice established pursuant to principles of public accountability * * * which requires the public agency employee's pay to be reduced or such employee to be placed on leave without pay for absences for personal reasons or because of illness or injury of less than one work-day" under specified circumstances. See 57 Fed. Reg. 37,677 (1992). The effect of the regulation is to preserve the exemption in most circumstances in which the salary of state and local executive, professional, or administrative employees is required to be reduced for partial-day absences. In issuing that new regulation, the Secretary noted that, while executive, administrative, and professional employees in the private sector are nearly always paid on a salary basis, *id.* at 37,672, public employers are normally subject to "principles of public ac-

countability" that prohibit paying employees for time not worked, *id.* at 37,667. The Secretary also recognized that, if the partial-day absence rule were applied to the public sector, it could prevent state and local governments from availing themselves of the overtime pay exemption for executive, administrative, and professional employees, a result that would be inconsistent with Congress's intent. *Id.* at 37,672. The Secretary therefore exempted public employees from the partial-day absence rule.

At the same time, however, the Department retained in effect for state and local employees the general rule governing disciplinary deductions in 29 C.F.R. 541.118 (a), under which an employee loses salary basis status if the employee's pay is reduced for disciplinary suspension (other than for violation of a major safety rule) of less than a week. 57 Fed. Reg. 37,674 (1992). The Department concluded that the comments it had received had not provided a "sufficient basis" for determining "that public employers are significantly more restricted in the availability of options with respect to employee discipline than private employers." *Ibid.* The Department noted that both public and private employers had disciplinary options consistent with the Section 13(a)(1) overtime pay exemptions, such as termination, official reprimands, demotions, and reassignment or restriction of duties. *Ibid.*

3. Petitioners are a group of police sergeants and one police lieutenant employed by the St. Louis Police Department. Pet. App. 6a, 36a. During the pertinent time frame, state law has provided that St. Louis police sergeants receive a yearly salary and has specified that officers at the rank of sergeant or higher are allowed no overtime pay. *Id.* at 6a & n.1, 43a-46a.

The St. Louis Board of Police Commissioners has issued a Police Manual that specifies standards of conduct for police officers. Pet. App. 102a, 107a-117a. The penalties for violating some of those standards include disciplinary suspensions of less than one week without pay. See, *e.g., id.* at 148a (penalty for first offense of "[f]ailing to properly patrol assigned beat" is "[r]eprimand to 5 days").

Three of the petitioners brought this action in 1988 against respondents, the members of the St. Louis Board of Police Commissioners, alleging that respondents denied them overtime compensation in violation of the FLSA. Pet. App. 6a, 36a-37a. Respondents asserted that petitioners were administrative or executive employees within the meaning of Section 13(a)(1), and are therefore exempt from the FLSA's overtime requirements. *Id.* at 37a. Eventually, 285 other sergeants and one lieutenant were added as party plaintiffs under Section 16(b) of the FLSA, 29 U.S.C. 216(b).

Although much of the litigation focused on whether the employees at issue performed administrative or executive duties within the meaning of the Part 541 regulations, petitioners also contended they were not paid on a salary basis within the meaning of 29 C.F.R. 541.118(a). On cross motions for partial summary judgment, the district court ruled that the sole petitioner who was a lieutenant performed primarily management duties, that he was a salaried rather than an hourly employee, and that there were issues of disputed fact as to whether sergeants met the duties component of the test for executive or administrative employees. Pet. App. 6a-7a, 71a-74a. The court therefore held that the lieutenant petitioner was exempt under Section 13(a)(1), *id.* at 73a, and that the case should proceed to trial on the question whether sergeants satisfied the duties component of the test for executive or administrative employees, *id.* at 74a.

After trial, the district court ruled that 20 categories of sergeants were exempt under Section 13(a)(1) and two categories of sergeants were partially exempt. Pet. App. 6a-7a, 47a-62a, 64a-65a. The district court's post-trial opinion did not discuss whether sergeants were paid "on a salary basis" within the meaning of the Secretary's regulations.

4. The court of appeals affirmed in part and reversed in part, holding that all categories of sergeants were exempt under Section 13(a)(1). Pet. App. 1a-35a. In a portion of its decision that petitioners do not challenge,

the court of appeals held that all sergeants performed primarily administrative or managerial duties, thereby satisfying the duties component of the Section 13(a)(1) exemption. *Id.* at 10a-35a.

The court of appeals also rejected petitioners' argument that they were not salaried employees because they could be disciplined by suspension without pay for periods of less than one week under respondents' disciplinary policy for violations of rules that are not safety rules of major significance. The court held that "[t]he mere possibility of an improper deduction" from pay does not defeat an employee's salaried status under the Secretary's regulations. Pet. App. 8a.

The court of appeals also ruled that petitioners were exempt employees notwithstanding that respondents had suspended one sergeant for two days without pay for violating a residency requirement. Because a residency requirement is not a safety rule of major significance, the court concluded that the sergeant's suspension without pay was inconsistent with the Secretary's salary basis regulation and "[a]rguably" required that the sergeant be treated as a nonsalaried employee. Pet. App. 9a. The court concluded, however, that such a one-time improper deduction did not mean that *all* sergeants should be considered nonsalaried. *Ibid.*

The court stated that the "window of correction" regulation, 29 C.F.R. 541.118(a)(6), permits an employer who makes an improper deduction in an employee's salary to retain the exemption when the improper deduction is a "'*one-time* or unintentional failure to adhere to § 541.118(a)'s requirements.'" Pet. App. 9a (quoting *Martin* v. *Malcolm Pirnie, Inc.*, 949 F.2d 611, 616 (2d Cir. 1991), cert. denied, 506 U.S. 905 (1992) (emphasis added by court below)). The court determined that, although the window is not available when an employer has a settled policy of making improper deductions from compensation, the sergeant's disciplinary loss of pay in this case had not been made pursuant to an established policy. *Id.* at 9a-10a & n.7. The court explained that

the sergeant initially faced the penalty of termination, which would not have altered his exempt salaried status, and that respondents agreed to the lesser penalty of suspension as part of an agreement in which the sergeant waived his right to a hearing. *Id.* at 10a. The court also noted that respondents had changed their policy to make termination the exclusive penalty for violations of the residency requirement, so that respondents in the future would not impose pay deductions as a penalty for violations of the rule. The court concluded that, in those circumstances, the regulations "simply require the employer to reimburse the employee for the lost wages." *Ibid.*[a]

SUMMARY OF ARGUMENT

I. The Fair Labor Standards Act of 1938 (FLSA) contains an exemption from its overtime requirements for executive, administrative, and professional employees. The salary basis test and the disciplinary deduction component of that test fall within the Secretary of Labor's statutory authority to define the scope of the exemption. The salary basis test provides that exempt employees must generally receive a guaranteed weekly salary. The test is reasonable in light of evidence that executive, administrative, and professional employees are nearly universally paid on that basis. The rule against disciplinary deductions of less than one week's pay is an integral component of the test, since employees who are subject to such deductions do not have a guaranteed weekly salary and do not have the status and prestige associated with bona fide executive, administrative, and professional employees.

When Congress extended the FLSA to state and local employees, it added special amendments to accommodate the concerns of state and local governments. It did not,

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[a] Because it held that petitioners were exempt salaried employees within the meaning of the Secretary's regulations, the court of appeals stated that it did not need to address the question whether the no-disciplinary-deduction condition on salary basis status is valid as applied to the public sector. Pet. App. 8a n.6.

however, alter either the Secretary's salary basis test or the disciplinary deduction component of that test. Congress also left intact the Secretary's authority to define the scope of the exception. The Secretary has reasonably exercised that authority. After conducting a rulemaking proceeding and receiving evidence that principles of public accountability often prohibit public employers from paying employees for time not spent on the job, the Secretary reasonably decided that the general prohibition under the salary basis test against deductions for partial-day absences should not apply to state and local governments. The evidence in the rulemaking proceeding did not show, however, that there was a comparable need to modify the disciplinary deduction aspect of the rule. Public employers have a wide range of disciplinary options, such as reprimands, restrictions on duties, and full-week suspensions, that do not run afoul of the salary basis rule. The Secretary therefore reasonably decided not to modify the principles governing disciplinary deductions.

II. Petitioners were not "subject to" disciplinary deductions of less than one week's pay within the meaning of the first sentence of 29 C.F.R. 541.118(a). An employee who is otherwise salaried does not lose his exempt status simply because he is theoretically subject to improper disciplinary deductions; salaried status is lost only when employees are subject to improper disciplinary deductions as a practical matter. That approach best furthers the purposes of the exemption because it realistically assesses whether an employer treats a class of employees as having the status and guaranteed pay that the salary basis test measures.

Because the test is a practical one, the most important evidence bearing on whether a class of employees is "subject to" improper deductions would concern the extent to which such deductions have actually occurred and the circumstances of those deductions. Where an employer effectively communicates to employees in a particular category that deductions will be made for disciplinary suspensions of less than one week, a showing of actual deductions

would not be necessary. In the usual case, however, actual experience is the best measure of whether a class of employees is "subject to" improper deductions.

Under the correct interpretation of the regulations, petitioners were not subject to improper disciplinary deductions. Although respondents' written policy manual facially authorizes improper deductions, respondents' personnel rules can all be enforced in ways that are consistent with the disciplinary deduction aspect of the salary basis rule. For example, personnel rules that authorize a penalty ranging from reprimand to a suspension of five days can be enforced by imposing either the minimum or the maximum penalty without running afoul of the prohibition against disciplinary deductions of less than one week's pay. When public employers have otherwise manifested an intent to treat a class of employees as bona fide salaried employees, it ordinarily would be reasonable to conclude that they will enforce their disciplinary code in a manner that is consistent with that intent.

The one concrete example cited by petitioners of a suspension of less than one week involved a unique situation in which respondents implemented a two-day suspension only as a result of a settlement with the employee. That unique situation does not show that the entire class of sergeants was subject to improper disciplinary deductions as a practical matter. The rest of the anecdotal evidence relied on by petitioners was not brought to the attention of the court of appeals or to this Court at the certiorari stage, and there is therefore no occasion for this Court to consider it.

III. Respondents can correct the single disciplinary deduction of less than one week's pay by satisfying the terms of the "window of correction" regulation. 29 C.F.R. 541.118(a)(6). The window of correction is not open when an employer engages in a pattern of improper deductions. The window is open, however, to correct a one-time deduction of less than one week's pay. Respondents have not yet fulfilled all the conditions for invoking the window of correction. But once the case returns to

the district court, respondents can do so by reimbursing the one sergeant whose salary was reduced and promising to comply with the Secretary's salary basis regulations in the future.

ARGUMENT

I. THE SALARY BASIS TEST, INCLUDING ITS DISCIPLINARY DEDUCTION RULE, IS A REASONABLE EXERCISE OF THE SECRETARY OF LABOR'S AUTHORITY TO DEFINE THE SECTION 13(a)(1) EXEMPTION

Section 13(a)(1) of the FLSA exempts from the Act's overtime compensation requirements "any employee employed in a bona fide executive, administrative, or professional capacity * * * (*as such terms are defined and delimited from time to time by regulations of the Secretary of Labor*, subject to the provisions of [the Administrative Procedure Act])." 29 U.S.C. 213(a)(1) (emphasis added). The Secretary's regulations setting forth such definitions and delimitations must be upheld so long as they are not arbitrary, capricious, or manifestly unreasonable. *Sullivan* v. *Zebley*, 493 U.S. 521, 528 (1990); *Batterton* v. *Francis*, 432 U.S. 416, 425-426 (1977).[4]

Pursuant to Congress's broad grant of authority to "define[] and delimit[]" the scope of the exemption, the Secretary's regulations have for more than 50 years provided that an employee must be paid on a salary basis in order to come within the exemption. For more than 40 years, the regulations have contained the disciplinary deduction component of that rule, which provides that, to be

[4] Although the "salary basis" test (29 C.F.R. 541.118) appears in the "interpretations" subpart (Subpart B) of Part 541, rather than the "general regulations" subpart (Subpart A), that placement does not affect the level of deference owed to the rule. Section 541.118 was promulgated pursuant to notice and comment rulemaking in accordance with the statutory authorization in Section 13(a)(1). See 19 Fed. Reg. 1321-1322 (1954). Moreover, an agency's "power authoritatively to interpret its own regulations is a component of [its] delegated lawmaking powers." *Martin* v. *OSHRC*, 499 U.S. 144, 151 (1991).

regarded as salaried, an employee must receive a predetermined salary that is not "subject to" deductions of less than one week's pay for violations of work rules that are not major safety rules. Those aspects of the Secretary's regulations constitute a reasonable exercise of the Secretary's authority to "define[] and delimit[]" the scope of the exemption from the FLSA's overtime requirements.

A. As we have explained, based on evidence submitted at hearings conducted by the Wage and Hour Division, the Secretary determined that executive, administrative, and professional employees are nearly universally paid on a salary basis. See 57 Fed. Reg. 37,666 (1992) (describing history of salary basis regulations); *1949 Report* 24. That nearly universal practice reflects the widely held understanding that employees with the requisite status to be bona fide executives, administrators, or professionals have discretion to manage their time and are not answerable for the number of hours worked or the number of tasks performed. See *Kinney* v. *District of Columbia*, 994 F.2d 6, 11 (D.C. Cir. 1993); *Brock* v. *Claridge Hotel & Casino*, 846 F.2d 180, 184 (3d Cir.), cert. denied, 488 U.S. 925 (1988). Such employees are not paid by the hour or task, but for the general value of services performed. *Abshire* v. *County of Kern*, 908 F.2d 483, 486 (9th Cir. 1990), cert. denied, 498 U.S. 1068 (1991). In general, they receive a guaranteed amount of compensation "free and clear." See *1940 Report* 23. The Secretary's regulations therefore reasonably provide that, in order to fall within the exemption, employees must be paid on a "salary basis"—*i.e.*, with limited exceptions, they must be guaranteed a predetermined amount of compensation that is not reduced because of the quantity or quality of work. See *Walling* v. *Yeakley*, 140 F.2d 830, 832-833 (10th Cir. 1944).

The rule against disciplinary deductions is an integral component of the salary basis rule. Because one of the marks of an exempt employee is the receipt of a predetermined amount of compensation, the Secretary reasonably decided that suspending an employee for violation

of a work rule, and docking the employee's pay for the suspension, is an indication that the employee lacks the requisite status to qualify for exemption under Section 13(a)(1). The disciplinary deduction rule is also based on the Secretary's understanding, derived from Wage and Hour Division hearings, that bona fide executive, administrative, and professional employees have sufficiently high status and prestige that they are not generally disciplined in the form of such deductions from compensation. *1949 Report* 24-26.[5]

B. The Secretary has acted within his statutory authority in applying the salary basis rule and the disciplinary deduction component of that rule to state and local employers. When Congress extended the coverage of the FLSA to almost all public employees, it sought to accommodate the special concerns of state and local governments. Congress specifically exempted from overtime requirements certain categories of state and local government employees, such as elected officials, their personal staff, and certain of their appointees and advisers. See 29 U.S.C. 203(e)(2)(C). Congress also created special overtime rules for law enforcement personnel, who need not be paid premium overtime compensation until they have worked 171 hours over a period of 28 days. 29 U.S.C. 207(k); 29 C.F.R. 553.201.

After this Court's decision in *Garcia*, Congress amended the FLSA to accommodate still further "the particular

[5] The line-drawing contained within the disciplinary deduction rule is itself reasonable. Cf. *Mourning* v. *Family Publications Serv., Inc.*, 411 U.S. 356, 374 (1973) (lines drawn by agency in defining a class subject to regulation may include "reasonable margin" to ensure effective enforcement). The Secretary permits deductions from the compensation of executive, administrative, and professional employees for violations of major safety rules as an accommodation to the strong public policy interests in compliance with such rules. The Secretary does not consider unpaid disciplinary suspensions of a full-week pay period to violate the salary basis rule, because the Secretary has adopted a general policy, reflected in 29 C.F.R. 541.118(a), not to question the salaried status of an employee who receives no pay in a week in which the employee performs no work.

needs and circumstances of the States and their political subdivisions." S. Rep. No. 159, 99th Cong., 1st Sess. 7-8 (1985); see Fair Labor Standards Amendments of 1985, Pub. L. No. 99-150, §§ 2-7, 99 Stat. 787-791. In particular, Congress deferred the effective date of certain provisions of the FLSA; it added new provisions on compensatory time in lieu of overtime, special details, and volunteers; and it added an exemption for employees of the legislative branch of States and their political subdivisions. *Id.* §§ 2-5, 99 Stat. 787-790.

While Congress has carefully attended to the special problems faced by state and local governments, it has not modified either Section 13(a)(1) or the Secretary's salary basis test. Indeed, nothing in the text or legislative history of the FLSA's extension to state and local government employees—or in the 1985 amendments—even remotely suggests that Congress intended to prohibit the Secretary from implementing the Section 13(a)(1) exemption with the same salary basis test and disciplinary deduction rule that it had long applied to the private sector. The absence of any such indication is significant, because the applicable regulations were promulgated before Congress's extension of the FLSA to state and local employees. See *Merrill Lynch, Pierce, Fenner & Smith, Inc.* v. *Curran*, 456 U.S. 353, 379 (1982) (Congress is presumed to be aware of published regulations when it extends a statute). The Secretary therefore retains his full authority under Section 13(a)(1) to "define[] and delimit[] from time to time" the terms bona fide executive, administrative, and professional employee, as they apply to the public sector.

C. In exercising that authority, the Secretary has been sensitive to the possibility that differences between the public and private sectors might call for differences in the way in which the salary basis test should be applied to those two sectors. In 1991 and 1992, in response to concerns raised by state and local governments, the Secretary exempted public employers from the partial-day absence component of the salary basis rule. 56 Fed. Reg. 45,824-45,826 (1991); 57 Fed. Reg. 37,666-37,677

(1992); 29 C.F.R. 541.5d. The Secretary determined that principles of public accountability often prohibit public employers from paying employees for time not worked, and that applying the partial-day absence rule to such employers would inappropriately prevent them from availing themselves of the Section 13(a)(1) exemption for executive, administrative, and professional employees. 57 Fed. Reg. 37,672-37,673 (1992).

The evidence before the Secretary during the rulemaking proceeding, however, did not establish a comparable need for a change in the disciplinary deduction rule as applied to the public sector. 57 Fed. Reg. 37,674 (1992). There was no evidence presented to the Secretary that public accountability principles require public sector employers to impose particular forms of discipline, such as unpaid suspensions of less than one week for minor infractions, and that the salary basis regulation therefore should be modified accordingly. *Ibid.* Indeed, the Secretary noted that public employers have a wide range of options for implementing discipline that would allow them to preserve the exemption for particular classes of employees. *Ibid.* For example, nothing in the disciplinary deduction rule precludes public employers from sanctioning violations of work rules through reprimands, temporary reassignment of duties, full-week suspensions, or termination. As those examples illustrate, state and local employers remain free to enforce a system of graduated sanctions for their employees' job-related misconduct without running afoul of the disciplinary deduction rule.

The Secretary did not rule out an eventual change in the disciplinary deduction rule. 57 Fed. Reg. 37,674 (1992). He reasonably concluded, however, that the case for a change had not been made in that proceeding. The disciplinary deduction rule is therefore valid as applied to the public sector. *McGuire* v. *City of Portland*, 91 F.3d 1293, 1295-1296 (9th Cir. 1996); *Mueller* v. *Reich*, 54 F.3d 438, 443 (7th Cir. 1995), petition for cert. pending, No. 95-586 (filed Oct. 10, 1995); *Jackson* v. *Kentucky*, 892 F. Supp. 923, 933 (E.D. Ky. 1995), appeals pending, Nos. 95-6283 & 95-6284 (6th Cir., docketed Sept.

27, 1995); accord *Meringolo* v. *City of New York*, 908 F. Supp. 160, 168-169 (S.D.N.Y. 1995); *Paulitz* v. *City of Naperville*, 781 F. Supp. 1368, 1372 n.8 (N.D. Ill. 1992).

II. PETITIONERS WERE NOT "SUBJECT TO" IMPERMISSIBLE DISCIPLINARY DEDUCTIONS WITHIN THE MEANING OF 29 C.F.R. 541.118(a)

Petitioners were paid a predetermined amount every two weeks, and the district court found that there was no police department procedure for deducting pay from a sergeant or higher-ranking officer on an hour-by-hour basis because that employee did not work a certain number of hours. Petitioners nonetheless contend that they were non-salaried employees within the meaning of the Secretary's regulations, because they were "subject to" improper disciplinary deductions and therefore "subject to reduction because of variations in the quality or quantity of the work performed" within the meaning of the first sentence of 29 C.F.R. 541.118(a).

A. As we explained in our brief at the petition stage (at 9-10), in the Secretary's view, an employee who is otherwise paid on a salaried basis does not lose that status simply because he is theoretically "subject to" improper disciplinary deductions. Rather, salaried status is lost under the regulations only when employees are "subject to" such disciplinary deductions as a practical matter. In other words, either such deductions must actually be made in practice, or there must be a significant likelihood that, if an employee violates the pertinent work rules, the employee will be disciplined in a manner inconsistent with the salary basis rule.

That approach best furthers the purposes of the exemption because it realistically assesses whether an employer treats a class of employees as having the status and guaranteed pay that the "salary basis" test measures, and therefore as being "bona fide" executive, professional, or administrative employees. While petitioners appear to have advanced a different view before, they now agree (Br. 38) that it is only when employees "*as a practical*

matter are subject to impermissible disciplinary suspensions" that an employer's compensation practices run afoul of Section 541.118(a)'s disciplinary deduction rule.

B. Because the test is a practical one, the most important evidence bearing on whether a class of employees is "subject to" improper deductions would concern the extent to which such deductions have actually occurred and the circumstances of those deductions. On the one hand, for example, when there is evidence that improper deductions have been taken with some frequency for violations of a work rule by employees having a particular rank, it is fair to conclude that all employees in that rank are "subject to" such deductions. On the other hand, when such deductions have not occurred or have only occurred in idiosyncratic or unusual circumstances, that conclusion generally would not be warranted. See Brief for the United States as Amicus Curiae 9-10. In addition, if an employer effectively communicates that work-rule violations will result in deductions of less than one week's pay, the absence of actual deductions would not be dispositive. In those circumstances, the employees may be, as a practical matter, "subject to" improper deductions. In the usual case, however, actual experience will be the best measure of whether a class of employees is "subject to" improper deductions within the meaning of the first sentence of Section 541.118(a).[6]

C. The remainder of the salary basis regulation supports that construction of the first sentence of Section 541.118(a). The second sentence of Section 541.118(a) elaborates on the rule specified in the first sentence. It provides that, "[s]ubject to [certain specified] exceptions * * *, the employee must *receive his full salary* for any

[6] Because this case involves only a single documented deduction, it is not necessary to decide the extent to which actual deductions must occur in order to conclude that a class of employees is "subject to" deductions. Nor is it necessary to decide the extent to which an employer must inform his employees that work-rule violations will result in deductions of less than one week's pay in order to conclude that a particular class of employees is "subject to" improper deductions.

week in which he performs any work without regard to the number of days or hours worked" (emphasis added). That portion of the regulation focuses directly on the pay that an employee actually receives. The same is true of the exceptions to the "full salary" requirement. For example, Section 541.118(a)(2) provides that "[d]eductions *may be made* * * * when the employee absents himself from work for a day or more for personal reasons, other than sickness or accident" (emphasis added). Section 541.118(a)(3) provides that "[d]eductions *may also be made* for absences of a day or more occasioned by sickness or disability" (emphasis added). And Section 541.118(a)(5) provides that "[p]enalties *imposed* in good faith for infractions of safety rules of major significance will not affect the employee's salaried status" (emphasis added).

The "window of correction" regulation, 29 C.F.R. 541.118(a)(6), confirms the importance of actual deductions in deciding whether employees are paid on a salary basis. That regulation provides:

> The effect of making a deduction which is not permitted under these interpretations will depend upon the facts in the particular case. Where deductions are generally made when there is no work available, it indicates that there was no intention to pay the employee on a salary basis. In such a case the exemption would not be applicable to him during the entire period when such deductions were being made. On the other hand, where a deduction not permitted by these interpretations is inadvertent, or is made for reasons other than lack of work, the exemption will not be considered to have been lost if the employer reimburses the employee for such deductions and promises to comply in the future.

The "window of correction" regulation addresses the effect of actual deductions on salaried status, and it makes clear that such deductions result in a loss of the exemption when they demonstrate that the employer has no intent to pay its employees on a salaried basis, and, there-

fore, to treat them as "bona fide" executive, professional, or administrative personnel. That regulation is necessarily premised on the understanding that actual deductions (and any corrections thereof) ordinarily determine exempt status.

D. In the court below, and in their petition to this Court, petitioners relied on two things to show that employees in the rank of sergeant were "subject to" disciplinary deductions: respondents' police manual and the disciplining of a single sergeant. Neither is sufficient to show that the entire class of sergeants was "subject to" disciplinary deductions.

1. Respondents' policy manual facially authorizes the imposition of improper disciplinary deductions, *i.e.*, deductions of less than one week's pay for violations of work rules that are not major safety rules. Pet. App. 142a, 147a-149a (listing the penalty for various violations as reprimand to five days). But as petitioners themselves now appear to recognize, a written manual authorizing improper deductions, without more, does not show that the class of employees facially covered by the policy is "subject to" such deductions. Petitioners give one example of why that is so: a rule that is still on the books may not be enforced at all. Pet. Br. 43. But there are other reasons as well. For example, a personnel rule, although broadly worded, may not have been intended for application to a particular category of employees, and analysis of actual deductions will make it clear that the rule is not applied to them. Just as a written description of an employees' duties is not controlling in deciding whether those employees have executive, administrative, or professional duties, a written personnel manual is not controlling in deciding whether employees are subject to disciplinary deductions.

More significant, a personnel rule typically does not *require* a particular sanction for a violation of a rule; instead, it usually gives discretion to those who administer

the policy to decide upon the appropriate sanction.[7] As previously discussed (p. 10, *supra*), work rules can be enforced in a variety of ways that would not render a class of employees non-salaried. For example, reprimands, temporary reassignment of duties, full-week suspensions, and termination are all consistent with the disciplinary deduction rule. When those who administer a disciplinary policy decide that a violation of a work rule should be enforced against a particular class of employees in one of those ways (or not at all), rather than through disciplinary deductions of less than one week's pay, the class of employees would not be "subject to" improper disciplinary deductions.

Those who administer the policy may enforce a work rule without imposing disciplinary deductions of less than one week's pay, because they believe that different enforcement mechanisms work better for different classes of employees. They may also decide that it is more important to retain the exempt status of a particular class of employees than it is to enforce the work rule through the sanction of less than one week's pay, rather than in some other way. When a public employer has otherwise manifested an intent to treat a class of employees as bona fide executive, professional, or administrative personnel, it ordinarily would be reasonable to conclude that the employer will enforce its disciplinary rules in a way that is consistent with that intent.

In this case, respondents could enforce each of their rules that authorizes a disciplinary deduction of less than one week's pay in a way that is consistent with the disciplinary deduction rule. For example, although the penalty

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[7] By contrast, the state and local laws and policies governing partial-day absences that do not result in a loss of the exemption are those that *require* deduction from pay based on principles of public accountability. See 29 C.F.R. 541.5d. The special provision in Section 541.5d therefore was required to prevent a loss of exempt status. When deductions of less than one week's pay are required by governing law or policy, it is clear that employees are "subject to" reduction in pay within the meaning of Section 541.118(a).

for violating several rules is a reprimand to five-days' suspension, thereby creating a theoretical possibility of an improper deduction of less than one week's pay, Pet. App. 148a-149a, respondents could impose a reprimand or a five-day suspension without violating the disciplinary deduction rule. Petitioners therefore err in relying on respondents' disciplinary manual to show that they are "subject to" improper deductions within the meaning of Section 541.118(a).

2. Petitioners have offered only one concrete example of a sergeant (Sergeant Guzy) who was actually disciplined with a loss of less than one week's pay. Pet. Br. 41. As the court of appeals correctly concluded, that deduction occurred under "unique circumstances." Pet. App. 10a. In that incident, which occurred two years after suit was filed, the police department charged a sergeant with a violation of the city residency requirement and recommended that he be dismissed. *Ibid.* Under an agreement with the city, the sergeant waived his right to a hearing and accepted, in lieu of dismissal, a two-day suspension without pay. *Ibid.* Thus, respondents sought to implement a penalty that is consistent with the salary basis rule (termination) and implemented an unpaid suspension of less than one week only as the result of a settlement with the employee. We agree with the court of appeals that the "unique circumstances" surrounding that deduction do not divest other employees of their salaried status; that deduction does not show that the entire class of sergeants was subject to improper deductions as a practical matter.

E. Petitioners now seek to rely on other evidence to support their contention that they were subject to improper deductions. See Pet. Br. 41-42. For example, they claim that there is evidence that additional sergeants were actually subjected to disciplinary deductions of less than one week's pay for violations of non-major safety rules. Petitioners, however, never brought that evidence to the attention of the court of appeals or to the attention of

this Court at the petition stage.[8] Instead, petitioners chose to present a question that assumed that there were no applications of respondents' personnel rules. See Pet. i (emphasis added) ("Do * * * salary basis regulations * * * which require the loss of exempt status when an employee is 'subject to' nonsafety disciplinary suspension of less than a pay period apply only in cases of actual suspension *or* does DOL's interpretation that a personnel rule subjecting employees to discipline *alone* result[s] in loss of exempt status control the application of the rule?"). Petitioners' contention that there were additional examples of disciplinary deductions is therefore not properly before the Court. The same is true of petitioners' reliance (Pet. Br. 41) on testimony purporting to show that particular witnesses understood that sergeants would be impermissibly docked pay for disciplinary violations. Having failed to raise that contention in the court of appeals or before this Court at the petition stage, that contention is not properly presented here.

III. THE WINDOW OF CORRECTION IS OPEN TO RESPONDENTS TO CORRECT THE SINGLE IMPROPER DISCIPLINARY DEDUCTION IN THIS CASE

Respondents may rectify the single disciplinary deduction of less than one week's pay in this case by satisfying

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[8] In their brief before the court of appeals, petitioners' argument that respondents' pay practices ran afoul of the disciplinary deduction rule focused on the deduction from the pay of Sergeant Guzy. Brief of Appellants/Cross-Appellees 44; Reply Br. of Appellants/Cross-Appellees 21. They also asserted in that brief that "sergeants have received disciplinary suspensions for non-safety related reasons." Reply Br. of Appellants/Cross-Appellees 21 (emphasis added). But they failed to cite any record evidence to support that assertion. In their certiorari petition, petitioners did not state that there were any other actual deductions, while respondents represented as "fact[] that two hundred and eighty-eight (288) of the two hundred and eighty-nine (289) [p]etitioners had never been subjected to any alleged improper deduction from their salaries during the fourteen (14) year period prior to trial that they were paid on a salary basis." Br. in Opp. 13. Petitioners did not file a reply brief to refute that factual assertion.

the terms of the "window of correction" regulation. Under that requlation, the effect of making an improper deduction "depend[s] upon the facts in the particular case." 29 C.F.R. 541.118(a)(6). When the deductions indicate that there was "no intention to pay the employees on a salary basis," the exemption is not applicable. *Ibid.* But "where a deduction not permitted by these interpretations is inadvertent, or is made for reasons other than lack of work, the exemption will not be considered to have been lost if the employer reimburses the employee for such deductions and promises to comply in the future," *Ibid.* The court of appeals interpreted that provision to "allow[] employers to treat otherwise eligible employees as salaried, regardless of the employer's *one-time* or unintentional failure to adhere to § 541.118(a)'s requirements." Pet. App. 9a (quoting *Martin* v. *Malcolm Pirnie, Inc.*, 949 F.2d 611, 616 (2d Cir. 1991), cert. denied, 506 U.S. 905 (1992) (emphasis added by court below)). At the same time, the court concluded that the window of correction "is not available if the employer has a settled policy of making improper deductions." *Id.* at 10a.

That interpretation is consistent with the Secretary's construction of the "window of correction" provision. The Department of Labor's Wage and Hour Division issued an opinion letter on December 24, 1991, stating:

> The effect of making impermissible disciplinary deductions from "salaried" employees is discussed in § 541.118[(a)](6). Where a one-time disciplinary deduction is made, the exemption will not be considered to have been lost in all workweeks if the employer reimburses the employee for such deduction and agrees to not take any such impermissible deduction in the future. Where disciplinary deductions not permitted by the Regulations occur on a regular and recurring basis (e.g., because of an employer's policy), we would question whether such employees, including all of those in the "class" or "category" of employees affected by such deductions, are actually paid on a salary basis and the exemption may be denied in all workweeks.

Salary Basis, Wage & Hour Manual (BNA) 99:5257 (emphases omitted).

As we have explained, the single partial-week disciplinary deduction in this case was a one-time, unique event. There was no evidence presented to the court of appeals that respondents had an established practice of making such deductions. The window of correction is therefore available to respondents in this case, provided that they "reimburse[] the employee for [the improper] deduction[] and promise[] to comply in the future." 29 C.F.R. 541.118 (a)(6).

As petitioners note (Pet. Br. 43), respondents have not yet fulfilled all the conditions for invoking the window of correction. Accordingly, once the case returns to the district court, respondents must reimburse the one sergeant whose salary was improperly reduced and promise to comply with the Secretary's salary basis regulations in the future. The district court should not dismiss the case until respondents satisfy those conditions. That is apparently the course contemplated by the court of appeals. Pet. App. 10a.

CONCLUSION

The judgment of the court of appeals should be affirmed.

Respectfully submitted.

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